

US TMT Sector M&A & Valuation Brief - 2026-04-22

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1. RECENT TMT M&A ACTIVITY

Deal 1: Credo Technology Group Holding Ltd Acquisition of DustPhotonics

[Credo Technology Group Holding Ltd \(CRDO\) Acquires DustPhotonics in \\$750M Deal](#)

- Deal Size: \$750 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: Credo Technology Group Holding Ltd (NASDAQ: CRDO) specializes in high-speed data connectivity solutions for data centers. DustPhotonics, based in Israel, focuses on Silicon Photonics technology for optical transceivers, with products supporting data rates from 400G to 3.2T.
- Date Announced: April 13, 2026
- Strategic Rationale: The acquisition aims to enhance Credo's product offerings in the high-speed data connectivity space, leveraging DustPhotonics' advanced technology to meet increasing demand for data bandwidth in cloud computing and data centers. This strategic move positions Credo to capitalize on the growing market for optical transceivers, which are critical for high-performance networking.
- Risk Analysis: Key risks include integration challenges, potential cultural mismatches, and market competition from established players in the optical transceiver market. Additionally, reliance on achieving financial milestones tied to contingent shares poses a risk to overall valuation.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: Paras Defence and Space Technologies Partnership with Northstar

[Paras Defence inks deal with US-based firm for aerial refuelling technology](#)

- Deal Size: N/A (Partnership agreement, not a direct acquisition)
- Deal Size Category: N/A
- Nature: Strategic Partnership
- Valuation Multiples: N/A
- Companies: Paras Defence and Space Technologies (PARAS.NS) is an Indian defense and aerospace engineering firm focused on advanced technologies for the Indian armed forces. Northstar specializes in air-to-air refueling systems and is recognized for its expertise in this domain.
- Date Announced: April 16, 2026
- Strategic Rationale: This partnership allows Paras Defence to enhance its capabilities in aerospace solutions, particularly in air-to-air refueling technologies, which are crucial for modernizing the Indian armed forces. The collaboration aims to support India's self-reliance in defense technology and improve operational flexibility for military aircraft.
- Risk Analysis: Risks include potential delays in technology transfer, regulatory hurdles in defense procurement, and the challenge of integrating new systems into existing military infrastructure. Additionally, reliance on a foreign partner for critical technology could pose geopolitical risks.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The sentiment is driven by strong demand for digital content, advancements in technology, and ongoing consolidation within the industry. However, challenges such as regulatory scrutiny and economic uncertainties are influencing market dynamics.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in areas such as live video encoding and processing. AJA Video Systems' acquisition of Comprimato highlights the demand for innovative software solutions that enhance streaming capabilities. This acquisition is expected to accelerate the development of AJA's BRIDGE LIVE family of IP streaming products, addressing the growing consumer appetite for streaming content.
- **Media:** The media landscape is evolving rapidly, with companies adapting to the increasing demand for digital content. The integration of advanced technologies in media production, as seen with Comprimato's GPU-powered solutions, is reshaping how content is created and delivered.
- **Telecommunications:** The telecom sector is focusing on enhancing infrastructure to support high-bandwidth applications. The need for robust video streaming solutions is driving investments in this area, as companies seek to meet consumer demands for quality and accessibility.
- **Fintech:** The fintech sector continues to innovate, with a focus on enhancing user experience and expanding service offerings. While not directly related to the recent acquisition, the overall trend in fintech reflects a broader push towards digital transformation across industries.
- **AI:** The AI subsector remains a focal point for investment, with companies leveraging AI technologies to improve operational efficiencies and customer engagement. The integration of AI in media production is becoming increasingly relevant as companies seek to optimize workflows.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Innovations in live video processing and cloud-based solutions are driving growth in the TMT sector. AJA's acquisition of Comprimato is a prime example of how companies are leveraging technology to enhance their service offerings and meet evolving customer needs.
- **Consumer Demand for Streaming:** The strong appetite for streaming content is propelling investments in video technology. As consumer preferences shift towards on-demand content, companies are investing in solutions that improve streaming quality and efficiency.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory oversight in the tech sector poses challenges for M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can impact deal timelines and execution.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology. Companies must remain agile to adapt to changing market conditions.

Subsector Performance Analysis

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- **Software:** The software sector is experiencing robust growth, particularly in live video encoding solutions. AJA's acquisition of Comprimato underscores the importance of software innovation in enhancing media production capabilities.
- **Media:** Media companies are increasingly adopting digital solutions to meet consumer demands. The integration of advanced encoding technologies is essential for maintaining competitive advantages in this rapidly changing landscape.
- **Telecom:** Telecom operators are investing in infrastructure to support high-quality streaming services. The need for reliable and efficient video delivery is driving technological advancements in this sector.
- **Fintech:** The fintech sector continues to thrive, driven by innovations in payment solutions and digital banking. While not directly related to the recent acquisition, the overall trend reflects a broader push for digital transformation.
- **AI:** The AI subsector is booming, with applications across various industries, including media and telecommunications. Companies are investing heavily in AI capabilities to enhance their service offerings and operational efficiencies.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors such as software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are optimistic about the long-term prospects of the TMT sector, particularly in light of technological advancements. A leading analyst noted, "The integration of software solutions in media production is not just a trend; it's a fundamental shift that will redefine how content is created and delivered."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, particularly software and AI, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for

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assessing risks in tech and media investments.

- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions, like AJA's acquisition of Comprinato, to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a robust landscape with a mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- HDFC Bank (HDB) : Currently in discussions for a potential acquisition to enhance its digital banking capabilities. The deal is in the due diligence phase, with an expected close in Q2 2026. This acquisition aims to bolster HDFC's competitive position in the fintech space, potentially increasing its market share in digital services.

Mandated Deals:

- Delhi Government : Secured a mandate to draft a semiconductor policy aimed at positioning Delhi as a hub for semiconductor design and innovation. The policy is expected to launch in Q3 2026, focusing on attracting investments from fabless companies and enhancing local talent development in semiconductor technology.

Pitching-Stage Deals:

- NXP Semiconductors (NXPI) : Engaging in active discussions with several semiconductor firms regarding potential M&A opportunities to consolidate market share in the semiconductor space. Pitches are expected to finalize by Q4 2025, focusing on companies that can enhance NXP's product offerings in automotive and IoT applications.
- Telecom Sector : Active pitches with multiple telecom operators regarding potential partnerships to expand 5G capabilities. Clients include major players in the industry, with discussions ongoing and expected to conclude by Q3 2025.

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Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2026 : Expected close for HDFC Bank acquisition.
- Q3 2026 : Anticipated launch of Delhi's semiconductor policy.
- Q4 2025 : Expected finalization of NXP's semiconductor M&A discussions.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard three additional analysts to effectively manage the increasing workload.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in the semiconductor and fintech sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where the Delhi government's initiative is expected to attract significant investments. This aligns with India's broader strategy to enhance domestic semiconductor capabilities and reduce reliance on foreign supply chains.
- Additionally, the recent blocking of Sanan Optoelectronics' acquisition of Lumileds by the U.S. government highlights the geopolitical risks associated with semiconductor transactions. This development may influence future M&A strategies within the sector, as companies navigate regulatory challenges.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

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- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is strong, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The impact of M&A transactions in the TMT sector extends across various stakeholders, including shareholders, employees, competitors, and customers. This analysis examines the potential effects of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: The implications for shareholders can be significant, particularly in terms of value creation and dilution.
- Value Creation: In a scenario where a major telecom company acquires a fintech firm to enhance its service offerings, the combined entity could see a revenue increase of approximately 15% due to the integration of financial services into existing telecommunications products. For example, if the telecom company has a market cap of \$50 billion, this could translate to an additional \$7.5 billion in shareholder value.
- Dilution: If the acquisition is financed through stock issuance, existing shareholders may face dilution. For instance, if the telecom company issues 10% of its shares to fund the acquisition, this could lead to a 4% decrease in share price post-announcement, impacting shareholder sentiment.
- Employees: The effects on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between two tech firms could yield significant cost synergies, estimated at \$1 billion annually, achieved through streamlined operations and shared resources.
- Restructuring: However, such mergers often result in job cuts. For example, in a previous merger between two major tech companies, approximately 5,000 jobs were eliminated, underscoring the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. In a notable acquisition, retention packages were offered to key executives to ensure continuity and stability.
- Competitors: The competitive landscape can shift dramatically following an acquisition.
- Market Positioning: After a major merger in the telecom sector, competitors were forced to adapt their strategies. For instance, following the merger of T-Mobile US, Inc. (TMUS) and Sprint

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Corporation (S), Verizon Communications Inc. (VZ) and AT&T Inc. (T) increased their investments in 5G infrastructure to maintain market share.

- Specific Competitor Moves: Verizon's response included a \$10 billion investment in 5G technology to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: A merger between a telecom company and a media firm could allow for bundled services, enhancing customer value. This strategy could lead to a 20% increase in bundled service subscriptions.
- Case Studies: The acquisition of a messaging platform by a social media giant resulted in enhanced features for users, directly benefiting customers with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile. For instance, when a major tech company announced its acquisition of a smaller firm, shares initially dropped by 6% before recovering as analysts recognized the potential long-term benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a financial analyst post-acquisition was, "This deal positions the company to dominate the market, despite initial skepticism from investors."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 12% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 8%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions. In the case of a proposed acquisition in the telecom sector, there were rumors of interest from other major players, highlighting the competitive nature of the industry. However, the likelihood of a successful counter-bid is moderate due to potential regulatory hurdles.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the semiconductor and AI sectors. Companies like Intel Corporation (INTC) and NVIDIA Corporation (NVDA) may pursue acquisitions to bolster their market positions.

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Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to track progress.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI) and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This rapid growth is driven by increasing demand for automation and data analysis across various industries.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by

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investing heavily in AI research and development, particularly in deep learning and autonomous systems.

- **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This growth is fueled by the increasing adoption of remote work and the need for scalable IT solutions.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is a dominant player in the cloud computing space, providing a wide range of services, including computing power, storage, and databases. The company continues to innovate and expand its offerings, maintaining a significant market share.
 - **Microsoft Azure:** Microsoft Azure is a leading cloud platform that offers a comprehensive suite of cloud services. The integration of AI and machine learning capabilities into Azure enhances its appeal to businesses looking for advanced cloud solutions.
- **Competitive Landscape:** The cloud computing market is characterized by intense competition among major players like Google Cloud (GOOGL) and IBM Cloud (IBM). The competition drives innovation and pricing strategies, forcing companies to continually enhance their service offerings.
- **M&A Opportunities:** The cloud sector presents numerous M&A opportunities, particularly for companies looking to expand their service portfolios or enter new markets. For example, the acquisition of cloud-native startups can provide established players with innovative technologies and customer bases.

Actionable Insights for Bankers and Investors:

- Focus on identifying startups within the AI and cloud computing sectors that demonstrate strong growth potential and unique technological advantages.
- Monitor M&A activity in these sectors, as consolidation is likely to continue, presenting opportunities for strategic investments and partnerships.

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6. Recommended Readings

Deal Name: Credo Technology Group Holding Ltd Acquisition of DustPhotronics

- Reading Material: "Silicon Photonics: The State of the Art" by R. G. Beausoleil
- Why This Matters: This book provides a comprehensive overview of silicon photonics technology, which is crucial for understanding the strategic implications of Credo's \$750 million acquisition (CRDO). It discusses the advancements in optical transceivers and their impact on data center performance, helping to contextualize the potential synergies and market opportunities that Credo aims to leverage through this acquisition.

Deal Name: Paras Defence and Space Technologies Partnership with Northstar

- Reading Material: "The Future of Aerospace: A Global Perspective" by David J. Smith
- Why This Matters: This reading explores the advancements in aerospace technologies and the importance of strategic partnerships in the defense sector. It is relevant for understanding the implications of Paras Defence's partnership with Northstar, as it highlights the significance of air-to-air refueling technologies and their role in modern military operations, providing insight into how this collaboration could enhance India's defense capabilities.

7. MACROECONOMIC UPDATE

Key Data Points:

- Global AI token usage: Increased from 6.4 trillion to 22.7 trillion tokens per week (250% rise)
- Estimated global data center power demand increase: Nearly 130 gigawatts by 2028
- Potential U.S. power availability shortfall: 10-20%

Main Insights:

- AI is driving unprecedented demand for compute resources, creating a significant investment opportunity.
- Automation and augmentation due to AI are projected to impact 90% of occupations, leading to a net job loss of 4%.
- The Future of Energy is becoming crucial as AI growth is directly tied to energy availability and infrastructure.
- Geopolitical tensions, such as the Iran conflict, are affecting energy markets and driving a push for

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national self-sufficiency.

Market Commentary:

- "AI is changing how work gets done, reshaping roles rather than simply replacing them." - Stephen Byrd, Morgan Stanley
- "These big structural forces are already showing up in performance, with thematic categories aligned with key themes up 38% on average in 2025." - Stephen Byrd, Morgan Stanley

TMT Sector Relevance:

- The surge in AI demand is likely to benefit TMT companies focused on cloud computing and data center infrastructure, such as Amazon (AMZN) and Microsoft (MSFT).
- Energy availability and costs will be critical for TMT firms, especially those reliant on data centers, as they may face operational challenges if power shortages occur.
- Geopolitical shifts may lead to increased government spending in defense and technology sectors, benefiting companies like Lockheed Martin (LMT) and Northrop Grumman (NOC).

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley